



Monthly Strategies

HR Strategies, LLC

Volume 23, Issue 10
October 1, 2026

Fourth Quarter Focus

As we move into the last quarter of 2026, the question facing business leaders has changed. A year ago, we were talking about transformation and opportunity. Today, the workforce is telling us something more urgent: people are stretched thin, watching closely, and deciding whether their organizations can be trusted with what comes next. Six pressures are converging at once, and each one points back to the same place.

Manager engagement has fallen to 22 percent globally, down nine points in three years. This is not just a dip. It signals a deeper break, and it is especially concerning among the younger and female managers organizations have worked hard to promote. When managers disengage, their teams often follow.

Burnout has gone underground. Roughly a third of employees are now in what researchers call silent burnout: still showing up, still producing, and quietly considering their next move. It does not always appear in absenteeism data until it is too late to act.

AI was supposed to lighten the load. For many employees, it has done the opposite, adding hours of review, verification, and tool-switching while focused work continues to decline. Employees are using AI more but trusting it less.

The compliance gap that comes with AI adoption is now a live legal exposure, not a future problem. Many business leaders in states with AI employment laws are not fully aware of them, and few organizations have policies they would describe as clear or defensible.

Our early-career pipeline is leaking before it fills. Sixty-five percent of Gen Z employees leave within their first year, and one of the clearest drivers is painfully simple: they no longer believe their manager cares about them as a person.

And for the first time in a decade, employees have told researchers that confidence in leadership and how well change is handled matter more than feeling like they belong. Belonging and recognition have not become less important. They have lost some of the stable ground they used to stand on.

What ties these six themes together is trust, and the thing that builds or breaks trust every single day is recognition. Recognition is how a manager demonstrates care before a team disengages. It is an

early signal that can surface burnout before it becomes a resignation. It is how an organization proves that AI is not quietly extracting more than it gives back. It is how an early-career employee sees that their contribution matters before they decide to leave. And it is one of the clearest ways a leadership team shows that what it says and what it rewards are aligned.

Recognition should always come first in how we approach this work, with rewards there to reinforce it, not replace it. When recognition is inconsistent, organizations lose one of the simplest ways to build trust, strengthen manager relationships, and make employees feel seen. It's important to help leaders read the signals behind the scores, understand where trust may be weakening, and take action before the impact shows up in retention, performance, or culture.

These are some areas you may want to focus on during the fourth quarter:

Improve Manager Engagement

- Audit manager workloads before adding any new responsibilities.
- Invest in manager-specific recognition and coaching programs.
- Build recognition into manager performance metrics. If managers are not giving recognition, measure it and address it.
- Create upward feedback loops so senior leaders can detect manager disengagement early, before it spreads to the team.
- Redesign manager spans of control. The scope of what managers are expected to handle has expanded beyond what most are equipped or compensated to absorb.

Address Burnout

- Stop measuring burnout only through absenteeism and formal leave data. Silent burnout does not trigger those signals. Use pulse surveys, recognition frequency data, and manager check-in cadence as early-warning indicators.
- Normalize recovery time explicitly, not just rhetorically. Reset days, meeting-free afternoons, and protected focus blocks need to be policy, not suggestion.
- Require HR leaders to segment mental health support usage by team, tenure, and function. Low

utilization is not the same as low need. It is often the opposite.

- Train managers to detect disengagement signals before they become formal leaves or resignations. Recognition is one of the clearest early signals: employees who stop engaging with recognition programs, or who are not receiving it regularly, are often the first to disengage fully.
- Audit the gap between mental health benefits offered and mental health benefits actually accessible. Benefits that require extensive navigation or carry stigma do not buffer burnout.

AI is Increasing Workload — Not Reducing it

- Audit actual AI tool usage before deploying more. Organizations running four or more AI tools without a consolidation strategy are likely creating the problem they set out to solve.
- Protect focused work time explicitly. Meeting-free blocks, async-first communication norms, and workload monitoring are not productivity perks. They are baseline conditions for knowledge work.
- Measure AI's impact on employee workload, not just organizational efficiency. If time-to-complete is rising and focused work is falling, efficiency gains at the business level are coming at a direct cost to employees.
- Give employees agency over which AI tools they adopt. Forced adoption without training or context is the fastest path to the "AI brain fry" threshold BCG identified.
- Build regular feedback loops between leadership, IT, and employees about how AI tools are actually being used, where they help, and where they add friction.

Legal Liability and AI Compliance

- Build a complete inventory of every AI tool in use across the employee lifecycle, including tools adopted by individual departments.
- Assign clear ownership of AI compliance tracking. In most organizations, legal and compliance teams are currently leading AI governance, but they lack the HR-specific context to evaluate employment risk.
- Commission an external bias audit for any AI tool used in hiring, promotion, or performance management. This is not optional in states with AI employment laws.
- Update job postings and employee communications to disclose AI use and the process for requesting human review.

- Formalize AI training that is role-specific, not just organization-wide awareness. Generic AI 101 training does not close the gap that leads to the 59% skills shortage.
- Establish a cross-functional AI governance committee that includes HR, legal, IT, and a senior business leader with authority over vendor decisions.

Gen Z is Leaving Before They Have a Chance to Stay

- Extend onboarding programs to 12 to 18 months. Research from the University of South Florida and University of Cincinnati found that structured longer-term onboarding, including shadowing and skill development, significantly improves early-career retention.
- Build early recognition moments into the first 90 days of every role. Recognition that connects current work to future growth anchors early-career employees to a visible trajectory.
- Create cohort-based development programs. Strong cohort dynamics reduce contagion-driven exits. Employees who feel socially embedded in a peer group are less likely to leave when a colleague does.
- Give managers explicit guidance on early-career coaching, not just performance management. The relationship between a first-time professional and their manager is the single most influential factor in that person's first-year experience.
- Communicate career paths continuously, not just during reviews. Transparency about skill development and advancement criteria reduces the "no path forward" perception that drives early exits.

Organizations should be prepared to answer those questions honestly, Cavanaugh said. Employees may not always like the answer, but they are more likely to trust decisions that are explained clearly and consistently.

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